peak of small-scale reservation, the share of output of reserved items was only about 30 per cent of the manufacturing goods output of SSI.

Small-scale reservation was based on the misinformed notion that it did not matter whether an industrial product is manufactured on a small or large scale. Scale economies were not clear to policymakers. Most items reserved for the small-scale sector were labour-intensive industries. If these were manufactured at scale, they would be competitive while small-scale manufacture could compromise competitiveness and quality.

Small-scale enterprises are quite competitive in several businesses, and these do not need reservation to thrive. Ultimately, the short-sightedness of the policy of reserving items exclusively for small-scale manufacture dawned on policymakers and finally in 2015, the nonsensical policy ended.

Manufacturing Policy 2011, Industrial Corridors and Make in India

The makeover of policy focus from restraining and containing the private sector in Industrial Policy 1.0 (1947–1991) to promoting and facilitating the private sector during Industrial Policy 2.0 (from 1991) has been continued with two major policy initiatives taken by the government in the twenty-first century.

To enhance the share of manufacturing in GDP to 25 per cent and create 100 million manufacturing jobs, the government announced the National Manufacturing Policy in 2011. It intended to create an enabling policy environment, in partnership with the states, and proposed incentives for infrastructure development on public-private partnership (PPP) basis.

The policy pioneered the concept of National Investment and Manufacturing Zones (NIMZs) for focused, cluster-based development of manufacturing. The instrumentality of NIMZs was designed to create large, integrated industrial townships with state-of-the-art infrastructure. To facilitate politics-free governance, these zones were to be designated as